SUBJECT: Lec 1

DATE 20/9/2026

ACCounting → external
→ internal

ECanomic info. → users (stakeholders) → Making financial decision

exam ✓/✗
* Financial Acc. → Financial info. → external users
* Mgt. Acc. → financial & non financial → internal (mangers)
* Cost Acc

exam ✓/✗ Financial Acc.	Mgt Acc.
- external	- internal
- Financial	- Financial & non financial
- (fin. st.) → past oriented	- (decision making / planning) → future oriented
- peraidic / Annual	- حسب رغبة الإدارة
- aggregated مجمعة	- detailed مفصلة
- GAAP	- No rules (satisfy the manager needs)

✓/✗ Cost Acc

⇒ provide financial & non financial info. → Cost of acquaring or using the resources for the organization.

⇒ Fin & Mgt. Acc ← أ مغيرة

⇒ Cost Acc (مغيرة) → جزء من → Mgt. Acc (كبيرة)

SUBJECT: DATE: / /

Cost Acc

Cost terms

1- Cost : resource sacrified to acheive specfic objective.
2- Cost object : Any thing we want to measure its cost ex: product, customer, service
3- Costing system : Determine the cost of the cost object.
- ① Cost Accumulation ex: material - labor - electricity (تجميع في categories)
- ② Cost Assignment (تحديد تعيين cost accumulated في product)

exam

* ② Cost Assignment
- Cost tracing → direct → easily & Accurately
- Cost Allocations → indirect → estimation

Cost Allocation base : link bet. indirect & Cost object

persons → (Cost object)	A	B	C	D		
Main dish	$50	$60	—	$80	190	معروفين
Drinks	$20	$16	$18	$12	66	
salad					80	مجهولين 120
water					20	
Tips					20	
					$376	

$\frac{120}{\text{عشان}4} = 30$

→ A = 70 + 30 = 100
→ B = 76 + 30 = 106
→ C = 18 + 30 = 48
→ D = 92 + 30 = 122

Main dish & Drink → direct (salad & water & Tips → indirect

BLZAHRAA

SUBJECT: Lec 2

DATE: 27 / 9 / 2026

Cost classifications

1. inventory valuation & profit measurment.
2. Decission making purposes.
3. Control & performance evaluation.

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① inventory valuation & profit measurment ;-

(A) according to type of cost element ;- 3 elements

1- material cost.
2- Labor cost.
3- service cost.

(B) according to relationship to product ;-

1- Direct cost → (direct material - direct Labor)
2- indirect cost → (indirect material - indirect Labor & other indirect cost)
(overhead cost)

(C) according to Functional areas ;-

1- non manufacturing cost → selling / marketing
→ Administrative

2- manufacturing cost → direct material DM
→ direct manufacturing Labor
→ indirect manufacturing cost
(manufacturing overhead)

manufacturing cost
→ prime cost (direct material, direct manufacturing) direct cost
→ Conversion cost (direct manufacturing labor, Manufacturing overhead)

ELZAHRAA

SUBJECT: _____ DATE: / /

manufactoring cost = DM + DL + M. overhead (M.oH)
= prime cost + M. overhead (M.oH)
(DM + DL)
= Conversion + DM
(DL Cost + M. overhead)
= prime cost M.oH + Conversion Cost - DL

ex DM = 150,000 , DL = 20,000 h for $10/hour
M.oH = 250,000

DL = 20,000 x 10$ = 200,000 $
prime Cost = 150,— + 200,— = 350,— $
DM + DL

Conversion = 200,— + 250,— = 450,— $
DL + M.oH

man. Cost = DM + DL + M.oH
150,— + 200,— + 250,— = 600,— $

ex prime Cost = 195,— $, Conversion cost = 221,— $
DM = 85,— $
prime cost = DM + DL
195,— = 85,— + DL (DL = 110,— $